



CHAPTER 28.

An Act to amend the law relating to the disqualification for membership of county, town and district councils in Scotland, and to make provision with regard to the disability of members of such councils in relation to contracts and other matters in which they have a pecuniary interest.
[13th July 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1. The provisions of—

- (a) paragraph (b) of subsection (2) of section nine of the Local Government (Scotland) Act, 1889, as amended by subsection (8) of section twelve of the Local Government (Scotland) Act, 1929 ;
- (b) paragraph (5) of section thirteen of the Town Councils (Scotland) Act, 1900, as amended by subsection (8) of section twelve of the said Act of 1929 ; and
- (c) paragraph (b) of subsection (1) and subsection (2) of section twenty of the Local Government (Scotland) Act, 1894, as applied to district councils by section twenty-six of the said Act of 1929 ;

Removal of
disqualifi-
cation for
membership
of county,
town, and
district
councils
on account
of interest
in contracts.

52 & 53 Vict.
c. 50.
19 & 20
Geo. 5. c. 25.
63 & 64 Vict.
c. 49.
57 & 58 Vict.
c. 58.

which relate to disqualification for election to or membership of a county or a town or a district council by reason

of a share or interest in any contract or employment with, by or on behalf of the council or any committee or sub-committee thereof, shall cease to have effect.

Disability
of members
of county,
town, and
district
councils in
relation to
contracts,
&c., in
which they
have a
pecuniary
interest.

2.—(1) If a member of a county council, a town council or a district council has any pecuniary interest direct or indirect in any contract or proposed contract or other matter and is present at a meeting of the council at which the contract or other matter is the subject of consideration, he shall at the meeting as soon as practicable after the commencement thereof disclose the fact and shall not take part in the consideration or discussion of or vote on any question with respect to the contract or other matter :

Provided that this section shall not apply to an interest in a contract or other matter which a member may have as a ratepayer or inhabitant of the area or as an ordinary consumer of gas, electricity or water or to an interest in any matter relating to the terms on which the right to participate in any service provided by the council, including the supply of goods, is offered to the public.

(2) For the purposes of this section, a person shall (subject as hereafter in this subsection provided) be treated as having indirectly a pecuniary interest in a contract or other matter if—

- (a) he or any nominee of his is a member of a company or other body with which the contract is made or is proposed to be made or which has a direct pecuniary interest in the other matter under consideration; or
- (b) he is a partner or is in the employment of a person with whom the contract is made or is proposed to be made or who has a direct pecuniary interest in the other matter under consideration :

Provided that a person shall not be treated as so interested—

- (i) by reason only of his being a member of or employed by any public body;
- (ii) by reason only of his being a member of a company or other body, if he has no beneficial interest in any shares or stock of that company or other body.

(3) For the purposes of this section, a member of a county council or a town council who is or has within three months been in receipt of or is an applicant for poor relief from the council shall be treated as having indirectly an interest in the matter of the amount of outdoor poor relief (other than relief in respect of medical needs) to be provided by the council in the case of any other person.

(4) In the case of married persons living together, the interest of one spouse shall if known to the other be deemed for the purposes of this section to be also an interest of that other spouse.

(5) A general notice given in writing to the clerk of the council by a member thereof to the effect that he or his spouse is a member or in the employment of a specified company or other body or that he or his spouse is a partner or in the employment of a specified person shall, unless and until the notice is withdrawn, be deemed to be a sufficient disclosure of his interest in any contract, proposed contract or other matter relating to that company or other body or to that person which may be the subject of consideration after the date of the notice.

(6) The clerk of the council shall record in a book to be kept for the purpose particulars of any disclosure made under subsection (1) of this section and of any notice given under subsection (5) thereof, and the book shall be open at all reasonable hours to the inspection of any member of the council.

(7) If any person fails to comply with the provisions of subsection (1) of this section, he shall for every offence be liable on summary conviction to a fine not exceeding fifty pounds, unless he proves that he did not know that a contract, proposed contract or other matter in which he had a pecuniary interest was the subject of consideration at the meeting.

(8) In any case in which the number of members of a council disabled by the provisions of this section at any one time would be so great a proportion of the whole as to impede the transaction of any particular item of business, the Secretary of State may on the application of the council or otherwise and subject to such conditions as he may think fit to impose, remove any disability imposed by this section as respects such business or, with

the consent of the council and after such inquiry as he may direct, himself transact the business on their behalf—any business so transacted being of full force and effect and binding upon the council—and the Secretary of State may also on any such application or otherwise and subject to such conditions as he may think fit to impose remove the disability in any other case in which it appears to him that it is in the interests of the inhabitants of the area that he should do so :

Provided that, notwithstanding anything in this section, every member of the council may take part in the consideration or discussion of and vote on the question whether any such application shall be made or any such consent granted.

(9) Any such council may, by standing orders, provide for the exclusion of a member from a meeting of the council while any contract, proposed contract or other matter in which he has such an interest as aforesaid is under consideration.

(10) The provisions of this section shall apply in respect of members of a committee or sub-committee of any such council or of any joint committee appointed by such councils in like manner as they apply in respect of members of such a council subject to the following modifications :—

- (a) for references to meetings of the council there shall be substituted references to meetings of the committee, sub-committee or joint committee ;
- (b) the right of persons who are members of a committee or sub-committee of a council but not members of the council to inspect the book to be kept under subsection (6) of this section shall be limited to the inspection of the entries in the book relating to members of the committee or sub-committee ;
- (c) for references to the clerk of the council there shall be substituted, in the case of a joint committee, references to the clerk of the joint committee.

(11) In this section the expression “ public body,” includes a county council, town council, district council, and any trustees, commissioners, or other persons who

Section 3.

SCHEDULE.**ENACTMENTS REPEALED.**

Chapter and Session.	Short Title.	Extent of Repeal.
41 & 42 Vict. c. 51.	The Roads and Bridges (Scotland) Act, 1878.	Sections one hundred and eleven and one hundred and twelve.
52 & 53 Vict. c. 50.	The Local Government (Scotland) Act, 1889.	In section nine, in subsection (2), the words from "or (b) Has directly" to the end of the section.
57 & 58 Vict. c. 58.	The Local Government (Scotland) Act, 1894.	In section twenty, in subsection (1), the words from "or (b) has directly" to the end of the subsection, and subsection (2).
63 & 64 Vict. c. 49.	The Town Councils (Scotland) Act, 1900.	In section thirteen, paragraph (5).
13 & 14 Geo. 5. c. 24.	The Housing &c. Act, 1923.	In section twenty-two, paragraph (f).
15 & 16 Geo. 5. c. 15.	The Housing (Scotland) Act, 1925.	Section one hundred and seven.
16 & 17 Geo. 5. c. 56.	The Housing (Rural Workers) Act, 1926.	Sections six and seven.
20 & 21 Geo. 5. c. 40.	The Housing (Scotland) Act, 1930.	Section forty-two.
1 & 2 Geo. 6. c. 38.	The Housing (Agricultural Population) (Scotland) Act, 1938.	Section ten.

Printed by EYRE AND SPOTTISWOODE LIMITED

FOR

SIR WILLIAM RICHARD CODLING, C.B., C.V.O., C.B.E., the King's Printer of
Acts of Parliament

To be purchased directly from H.M. STATIONERY OFFICE at the following addresses:
 York House, Kingsway, London, W.C.2; 120 George Street, Edinburgh 2;
 26 York Street, Manchester 3; 1 St. Andrew's Crescent, Cardiff;
 80 Chichester Street, Belfast,
 or through any bookseller

Price 1d. net

as a public body, and not for their own profit, act under any enactment or any order made under any enactment for the improvement of any place or for the supply to any place of water, gas, or electricity, or for providing or maintaining a market in any place, and any other authority having power to levy a rate or issue a requisition for payment out of any rate levied for public purposes, and includes an insurance committee constituted under the National Health Insurance Acts, 1936 and 1937.

3. The enactments mentioned in the Schedule to this Act shall be repealed to the extent specified in the third column of that Schedule. Repeals.

4. This Act may be cited as the Local Government Amendment (Scotland) Act, 1939, and shall extend to Scotland only. Short title and extent